

**BEFORE THE DISTRICT CONSUMER DISPUTES REDRESSAL COMMISSION
AT BENGALURU URBAN, KARNATAKA**

Consumer Complaint No.: CC/389/2024

Date of Filing: 22.08.2024

Date of Order: 14.10.2025

Date of Hearing: 30.09.2025

CORAM:

Sri. M. Prabhakar Rao, B.Sc., LL.M., President

Smt. N. Sarojini Devi, M.A., LL.B., Member

Deepika Suresh, W/o Suresh Kumar

Flat 304, Brigade Meadows Apartments,
Kanakapura Road, Bengaluru - 560062, Karnataka.
...Complainant

Versus

1. M/s. Star Wellness General Insurance Company Limited

Regd. Office: 14th Floor, Tower B, Tech Park,
Whitefield, Bengaluru - 560066, Karnataka.
Represented by its Managing Director.
...Opposite Parties

ORDER

Per Sri. M. Prabhakar Rao, President:

1. Brief Facts of the Case

The complainant had obtained a family health insurance policy (Policy No. STAR/HLTH/2023/887334) from the Opposite Party on 12.04.2023 for a sum insured of Rs. 5,00,000/-. The policy was renewed for 2024-25 on payment of premium of Rs. 18,490/- on 11.04.2024.

The complainant's husband, Sri. Suresh Kumar, was admitted to Manipal Hospital, Bengaluru on 03.07.2024 with severe abdominal pain and underwent laparoscopic cholecystectomy on 05.07.2024. He was discharged on 08.07.2024. The total medical expenses incurred amounted to Rs. 1,87,432/-.

A cashless claim was raised through the Third Party Administrator on 03.07.2024. The cashless authorization was initially approved for Rs. 1,20,000/- but was subsequently revoked on 06.07.2024 with the citation 'pre-existing condition not disclosed at the time of policy inception'.

Upon discharge, the complainant settled the entire bill out of pocket and submitted a reimbursement claim on 14.07.2024 along with all supporting documents.

The reimbursement claim was rejected by the Opposite Party vide letter dated 29.07.2024 stating that the insured had not disclosed a pre-existing condition of gallstones at the time of obtaining the policy, citing Clause 6.1 of the policy terms as the ground for repudiation.

2. Contentions of the Complainant

The complainant denies that her husband had any diagnosed condition of gallstones at the time of policy inception in April 2023. The acute episode leading to hospitalization occurred for the first time in

July 2024, more than 14 months after the policy commencement.

She has produced the prior medical history of her husband (Ex. C-1), including annual health check-up reports from 2021, 2022, and 2023, none of which mention any gallbladder condition. The first diagnostic evidence of gallstones is the ultrasonography report dated 03.07.2024 (Ex. C-2), recorded at the time of acute presentation.

The complainant contends that the rejection is arbitrary, based on no medical evidence, and amounts to unfair trade practice under Section 2(47) of the Consumer Protection Act, 2019, as well as deficiency in service under Section 2(11).

3. Reply of the Opposite Parties

The Opposite Party has resisted the claim contending that the policy is a contract uberrimae fidei (of utmost good faith) and that non-disclosure of pre-existing conditions justifies repudiation under Clause 6.1.

However, the Opposite Party has failed to produce any contemporaneous medical record showing that the insured was aware of, or had been diagnosed with, gallstones prior to April 2023.

4. Issues for Determination

- (a) Whether the insured's husband had a pre-existing condition of gallstones at the time of policy inception which was not disclosed?
- (b) Whether the rejection of the reimbursement claim by the Opposite Party amounts to deficiency in service and unfair trade practice?
- (c) Whether the complainant is entitled to the claim amount with interest and compensation?

5. Findings and Reasoning

The settled position of law, reiterated by the Hon'ble Supreme Court in several decisions, is that the burden of proving non-disclosure of a pre-existing condition rests squarely on the insurer. Mere assertion of such non-disclosure, without contemporaneous medical evidence, cannot sustain repudiation.

In the present case, the Opposite Party has produced no documentation showing that the insured was symptomatic or diagnosed with gallstones prior to April 2023. The prior medical records produced by the complainant establish that the condition first manifested in July 2024.

The rejection of a legitimately payable claim on unsubstantiated grounds is a classic case of deficiency in service. Furthermore, the practice of issuing initial cashless approval and subsequently revoking it during the patient's hospitalization demonstrates a callous disregard for the well-being of policyholders and constitutes unfair trade practice.

6. Order

The Commission accordingly holds that the repudiation of the claim is illegal and amounts to deficiency in service.

In view of the foregoing, the Commission hereby directs:

- (a)** The Opposite Party is directed to pay the complainant a sum of Rs. 1,87,432/- (Rupees One Lakh Eighty-Seven Thousand Four Hundred and Thirty-Two only) towards the medical expenses claim that was wrongfully rejected.
- (b)** The Opposite Party shall pay compensation of Rs. 50,000/- (Rupees Fifty Thousand only) for mental agony, harassment, and unfair trade practice.

(c) Simple interest at 12% per annum shall be payable on the principal amount of Rs. 1,87,432/- from the date of claim rejection (29.07.2024) until the date of actual payment.

(d) Compliance shall be effected within 30 days of receipt of this order, failing which the interest shall enhance to 15% per annum.

The complaint is accordingly **allowed** with the above directions. Compliance to be reported within the time stipulated. Costs of Rs. 5,000/- are also awarded to the complainant.

(Sri. M. Prabhakar Rao)

(Smt. N. Sarojini Devi)

Place: Bengaluru

Date: 14.10.2025

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